Economic value of the global cycle factor −− timing a 10Y global bond portfolio

Strategy	Mean (%)	Vol (%)	Sharpe	CER, gamma=5 (%)	CER, gamma=10 (%)
GCF−timed	3.02	7.89	0.38	1.46	−0.10
Recursive−mean timing	2.39	7.00	0.34	1.16	−0.07
Buy−and−hold	2.17	6.98	0.31	0.95	−0.27

Real−time strategy, 2005−2024 (n=221 months, asset OOS R2 = 0.12).
Mean−variance exposure w propto Ehat[rx]/sigmahat^2 from the recursive GCF_oos forecast (doubly out−of−sample). The Sharpe ratio is scale−invariant; mean, volatility and CER are reported at equal average exposure so the variance penalty is comparable. CER is the annual certainty equivalent of a mean−variance investor. Returns are local−currency excess returns; overlapping 12m returns.